

MoE's Model Exit Exam

Economics

July 4, 2023



Question 1

Let y_0 be the amount of investment in period zero and MPC is the marginal propensity to consume. Income increment in period 1, i.e., $y_1 = MPC y_0$. Or If MPC is 0.75, $y_1 = 0.75 y_0$. What is the magnitude of income increment in any time period t ?

- a. $y_t = 0.25^t y_0$
- b. $y_t = 0.75^t y_0$
- c. $y_t = 1.25^t y_0$
- d. $y_t = 0.75 y_0$

Question 2

A country with a current account deficit is

- a. importing and exporting both current and future consumptions
- b. importing present consumption and exporting future consumption
- c. exporting present consumption and importing future consumption
- d. importing future consumption and exporting current consumption

Question 3

According to Keynesian economists

- a. The economy is inherently stable so that aggregate demand remain unaffected
- b. General equilibrium is attained relatively quickly because the price level adjusts quickly.
- c. The government should only monitor the economy and pump money in which it finds a slum is imminent.
- d. General equilibrium is not attained relatively quickly because the price level adjusts slowly.

Question 4

According to the structuralism model of economic growth,

- a. Given the structural similarities LDCs cannot replicate what DCs have done in the past. Thus, both LDCS and DCs can follow similar growth trajectory
- b. Given the structural differences LDCs replicate what DCs have done in the past. Thus, both LDCS and DCs can follow similar growth trajectory
- c. Given the structural similarities LDCs cannot replicate what DCs have done in the past. Thus, both LDCS and DCs cannot follow similar growth trajectory
- d. Given the structural differences LDCs cannot replicate what DCs have done in the past. Thus, both LDCS and DCs cannot follow similar growth trajectory

Question 5

An L- shaped isoquants represents that

- a. Inputs must be used in variable proportions
- b. There is only one efficient production process
- c. All production processes are efficient
- d. Inputs are perfect substitutes

Question 6

At a point where average variable cost is minimum, which of the following is correct?

- a. Marginal product attains its maximum
- b. Total product is maximized
- c. The law of diminishing returns begins to operate
- d. Average product is at its maximum

Question 7

Based on the analyses of the described Lorenz curves above, which one of the following can be concluded about the two countries?

- a. For every percentage of income the percentage of income recipients in Country B are greater than those in country A
- b. For every percentage of income the percentage of income recipients in Country A are greater than those in country B
- c. For every percentage of income the percentage of income recipients in Country A and in country B cannot be known from the above information.
- d. For every percentage of income the percentage of income recipients in Country A are equal to those in country B

Question 8

Choose one of the key differences between the Consumer price index and The GDP deflator as a measure of the overall level of prices

- a. The CPI includes only those goods produced domestically.
- b. The CPI measures the prices of all goods and services produced, whereas the GDP deflator measures the prices of only the goods and services bought by consumers.
- c. The GDP deflator assigns fixed weights to the prices of different goods, whereas the CPI assigns changing weights
- d. GDP deflator allows the basket of goods to change over time as the composition of GDP changes

Question 9

Consider the coefficient for price elasticity of demand, $ed = 5$ and the profit maximizing price set by the monopolist, $p = 15$. what would be its marginal cost at the optimum?

- a. 10
- b. 12
- c. 25
- d. 20

Question 10

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Consider the following Single Linear Regression Model of Keynesian consumption function where household's consumption ($Cons_i$) is determined by income (INC_i) · β_0 is the intercept and the slope parameters respectively, ε_i is the disturbance term, i denotes the household i .

The income consumption data is collected from 100 households and fitted to the following econometric model

$$Cons_i = \beta_0 + \beta_1 INC_i + \varepsilon_i$$

The model is estimated and the result is obtained as follows and all parameters are statistically significant.

$$\widehat{Cons}_i = -124.84 + 0.853 INC_i$$
$$R^2 = 0.692$$

What is the interpretation of the assumption that "the relationship between $Cons_i$ and INC_i is linear?"

- a. The model is linear in income and the slope parameter
- b. The model is linear in consumption and the intercept parameter
- c. The model is linear in consumption and income
- d. The model is linear in the intercept and the slope parameter

Question 11

Considering the same estimated utility function $U = q_1^{0.4}q_2^{0.6}$ for the consumer and the prices of q_1 and q_2 are $P_1 = 6$ and $P_2 = 10$, respectively, and she spends birr 144 on these goods, what are the optimal numbers of q_1 and q_2 that she will buy?

- a. $q_1 = 10.6$ and $q_2 = 8$
- b. $q_1 = 12$ and $q_2 = 7.2$
- c. $q_1 = 6$ and $q_2 = 8$
- d. $q_1 = 10$ and $q_2 = 8.4$

Question 12

Demand for foreign exchange is

- a. Past demand
- b. Derived demand
- c. Future demand
- d. Direct demand

Question 13

Dispute settlement among members is one of the functions of WTO. The need to settle disputes arises from _____.

- a. Political or other disagreements among members
- b. Unfulfilled promises with respect to one or more of the WTO agreements
- c. Economic policies that extend beyond trade
- d. Consumer and producer preference on the type of goods traded

Question 14

Econometrics estimation of a model that emerges from the normal Cumulative Distribution Function(CDF) of the error term is known as with dummy dependent variable is understood s

- a. Probit Model
- b. Tobit Model
- c. Linear probability model
- d. Logit Model

Question 15

Fiat money is

- a. Backed by government
- b. Backed by gold
- c. Real import
- d. Backed by real export

Question 16

Firms' demand for money arising precautionary motive is due to one of the following:

- a. Predicted demand increases for their products
- b. Predicted market conditions
- c. sudden technological changes
- d. Pre-announced tax policies

Question 17

Given a homogenous production function $Y = AK^{0.9} L^{0.5}$ compute the returns to scale if every factor is increased by β times and state whether increasing, decreasing or constant! When Factors increase by β times, Y increases by

- a. $\beta^{0.4}$ times and therefore the returns to scale is decreasing
- b. $\beta^{0.4}$ times and therefore the returns to scale is almost constant
- c. $\beta^{1.4}$ times and therefore the returns to scale is increasing
- d. $\beta^{0.45}$ times and therefore the returns to scale is decreasing

Question 18

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Given the following information of a multiple regression model:

The following is demand model with 2 explanatory variables X_2 and X_3 , estimated over 15 observations using OLS where

y_i = quantity demanded of commodity i

X_2 = own price of commodity 2

X_3 = income of the individual i

$$y_i = \beta_1 + \beta_2 X_2 + \beta_3 X_3 + \varepsilon_i$$

And the following data have been calculated from the original X s

$$(X^T X)^{-1} = \begin{bmatrix} 2 & 3.5 & -1 \\ 3.5 & 1 & 6.5 \\ -1 & 6.5 & 4 \end{bmatrix} \quad \text{And } (X^T Y) = \begin{bmatrix} -3 \\ 2.2 \\ 0.6 \end{bmatrix}$$

Regression variance is obtained as 0.91

Compute the estimated values of the intercept and the slope coefficients from

$$\begin{bmatrix} \widehat{\beta}_1 \\ \widehat{\beta}_2 \\ \widehat{\beta}_3 \end{bmatrix} = (X^T X)^{-1} (X^T Y)$$

What is the variance of $\widehat{\beta}_3$

Question 18 (Continued)

What is the variance of β_3

- a. -0.91
- b. 1.82
- c. 3.91
- d. 0.91

Question 19

Given the long run perceived demand curve $LAC(q) = q^2 - 15q + 50$ and its long run average total cost curve for a firm in a monopolistic competition, what is the long run equilibrium price and output, respectively?

- a. 12 and 6
- b. 7 and 37
- c. 37 and 12
- d. 6 and 12

Question 20

Given: an initial investment of birr 60,000 and the after tax cash flows for year 1 of birr 8,000; for year 2 of birr 15,000; for year 3 of birr 22,000; for year 4 of birr 20,000 and for year 5 of birr 20,000: the payback period for this project is__

- a. 3.5 years
- b. 4 years
- c. 3.25 years
- d. 3.75 years

Question 21

Harris-Todaro migration model attempts to explain the process of achieving unemployment equilibrium between urban expected wages and average rural income rather than an equalized rural-urban wage. Which of the following is not a necessary assumption?

- a. Urban wages are institutionally determined and inflexible downward ,
- b. The decision to migrate also depends on political and social factors that cannot be quantified
- c. Rural workers are free to migrate and are willing to take their chances in the urban job lottery
- d. Migration is stimulated primarily by rational economic considerations of relative benefits and costs—mostly financial but also psychological.

Question 22

If an economic variable of interest Y at time t and time $t+1$ can be described using two parameters u and v as $uy_{t+1} = vy_t$ which one of the following expression correctly relate the time path of y_t ?

- a. $y_t = \left(\frac{u}{v}\right)^t y_0$
- b. $y_t = \frac{v}{u} y_0$
- c. $y_t = \left(\frac{v}{u}\right)^t y_0$
- d. $y_t = \left(\frac{v}{u}\right) y_0 t$

Question 23

If consumers do not know how prices vary across firms

- ☐ a. Everyone benefits
- ☐ b. Their ignorance about price creates market power
- ☐ c. It may lead to a competitive price
- ☐ d. A firm can raise its prices by considerably losing its customers

Question 24

If the government wants to attract investment, which of the following policy actions by the central bank can help the government to achieve its objective?

- a. Decrease interest rate
- b. Increase income tax
- c. Increase profit tax
- d. Increase interest rate

Question 25

If the Hamiltonian function to be maximize is given as $H = 3y - u + \lambda(y + u)$, What is the optimal control path $\frac{\partial H}{\partial u}$, if $\lambda(2) = 0$

- a. $-1 - \lambda$, where $\lambda = 4e^{2-t} - 4$
- b. $\lambda - 1$, where $\lambda = 4e^{2-t} - 3$
- c. $\lambda - 2$, where $\lambda = 3e^{2-t} - 3$
- d. $\lambda - 1$, where $\lambda = 3e^{2-t} - 3$

Question 26

If the required reserve ratio (rr) is 10% and if the initial deposit is 100 Birr, what is the total amount of deposit created by the banking system?

- a. 1 Birr
- b. 10000 Birr
- c. 1000 Birr
- d. 10 Birr

Question 27

In economic analysis, the overvaluation of the exchange rate is corrected by employing _____

- a. Shadow exchange rate
- b. Social discount rate
- c. Shadow wage rate
- d. Marginal social cost

Question 28

In the Tobin's q Theories of investment, Tobin's q is defined as:

- a. $q = \frac{\text{Market Value of Installed Capital}}{\text{Replacement Cost of Installed Capital}}$
- b. $q = \frac{\text{Market Value of Installed Capital}}{\text{Replacement Cost of Installed Capital}} \times \text{interest rate}$
- c. $q = \frac{\text{Replacement cost of Installed Capital}}{\text{Market value of Installed Capital}}$
- d. $q = \frac{\text{Replacement cost of Installed Capital}}{\text{Market value of Installed Capital}} \times \text{interest rate}$

Question 29

In which one of the following cases of Lorenz curves is a comparison of the inequality levels of two countries valid?

- a. When the Lorenz curves of two countries are drawn in the same box but they do not cross one another
- b. The Lorenz curves lead to the Gini-coefficients is either near 1 or near zero
- c. When the Lorenz curves of two countries are drawn in the same box irrespective of whether they cross or not
- d. When the Gini-coefficient is computed without the Lorenz curves

Question 30

Indicate the one that is responsible for the MRP curve to slope downward, if the firm is a perfect competitor in the product market

- a. Price continuously declines as the demand for resource increases
- b. Marginal physical product curve of the resource is downward sloping
- c. Both price and marginal product declines as the quantity of resource used rises
- d. Resource productivity rises as we use more of that resource

Question 31

It expresses how much more output of x can be produced if the production of one unit of y is reduced by a unit

- a. Marginal rate of product transformation
- b. Competitive exchange
- c. Production Possibility Frontier
- d. The first theorem of welfare economics

Question 32

It is the locus of points of producer equilibrium resulting from changes in total monetary outlay, while keeping factor prices constant.

- a. Expansion path
- b. Production function
- c. Isocost
- d. Isoquant

Question 33

Non-discrimination as one of the key principles of the GATT, has two applications which are _____

- a. Un-favoured nation (non-discriminatory treatment of similar goods coming from two different countries) and international Treatment (non-discriminatory treatment of similar domestic and foreign goods)
- b. Most favoured nation (discriminatory treatment of similar goods coming from two different countries) and National Treatment (discriminatory treatment of similar domestic and foreign goods)
- c. Most favoured nation (non-discriminatory treatment of similar goods coming from two different countries) and National Treatment (non-discriminatory treatment of similar domestic and foreign goods)
- d. Most favoured nation (non-discriminatory treatment of similar domestic and foreign goods) and National Treatment (non-discriminatory treatment of similar goods coming from two different countries)

Question 34

One of the following best describes the current state of international trade

- a. the flow of trade in goods and services is next to that of capital flows
- b. Capital flows more freely across national boundaries than people.
- c. free international flow of people exceeds the free trade in goods and services,
- d. International flow of people is freer than international flow capital

Question 35

One of the following is an expression that correctly distinguishes Harod-Domar Model of growth from Solow model of growth.

- a. For Solow growth model labour force growth is not important in as is assumed to be abundant in a developing economy while labour is important for Harod-Domar growth model.
- b. In Harod –Domar model, net additions to the capital stock will bring about corresponding increases in the flow of national output, while in Solow Model, net additions to capital have diminishing returns
- c. In Solow model, net additions to the capital stock will bring about corresponding increases in the flow of national output, while net additions to capital have diminishing returns in Harod-Domar Model
- d. Technological progress can be expressed in the Solow growth model context as a decrease in the required capital-output ratio while technology is exogenously given in Harod-Domar model

Question 36

One of the following is the most important “power” of the WTO?

- a. The ability to adjudicate disputes between member countries regarding compliance with the Agreements
- b. using coercion rather resorting to soliciting compliance or appeal to suspension of concessions
- c. To sustain the complete set of Uruguay Round agreements by applying trade sanctions
- d. The ability to enforce free trade among member countries.

Question 37

Place the following in the correct order:

- I. Identifying the Key Factors
- II. Collecting Data and Information
- III. Determining the Flow of Information
- IV. Developing a Measuring System
- V. Preparing Reports Based on Data

- a. II, I, III, IV, V
- b. I, IV, II, V, III
- c. IV, I, II, III, V
- d. I, IV, V, III, II

Question 38

Pursuing expansionary monetary policy in conjunction with large budgetary deficits is expected to result in _____.

- a. Interest rates that promote the expansion of output while increasing demand
- b. Promote industrial output growth but reduces demand
- c. Positive real interest rates where inflation rates fall below nominal interest levels.
- d. Negative real interest rates where inflation rates exceed nominal interest levels.

Question 39

Regulation of financial institutions is conducted by

- a. Insurance companies
- b. Central banks
- c. Commercial banks
- d. Credit associations

Question 40

Suppose a given economy is represented by the following equations:

$Y = C + I + G + X - M$, $C = 400 + 0.8Y_d$, 10 million, lump sum tax (T) = 15 million, export (X) = 120 million, import (M) = $600 + 0.2Y$ and investment (I) = 26 million. What are the equilibrium national income (in million) and the import multiplier, respectively?

- a. 100 and - 2.5
- b. 150 and - 0.25
- c. 200 and -0.75
- d. 120 and - 0.5

Question 41

Suppose the Ethiopian population is estimated to be 110 million in the year 2012 E.C. the number of children below the age of 14 is 35 million while the number of the elder ones above the age of 65 is 15 million. If the total number of economically inactive population is 10 million whereas those people who are employed are 30 million. Then what are the total number of unemployed people and the unemployment rate, respectively?

- a. 40 million and 20%
- b. 20 million and 20%
- c. 40 million and 40%
- d. 20 million and 40%

Question 42

Suppose the Marshall – Learner condition does not hold. A real depreciation will tend to cause

- a. a reduction in net export (NX) only
- b. An increase in income and export
- c. a reduction in income (Y) only
- d. A decrease in both income and export

Question 43

Suppose there are two strategies open to each competitor-low price & high price strategies. The payoff table of the two firms is shown as follows. What is the logical outcome the game for the two players in the absence of collusion?

		Firm B's Strategies	
		Low Price	High Price
Firm A's Strategies	Low Price	(1000,1000)	(3000,-1000)
	High Price	(-1000,3000)	(2000,2000)

- a. Firm A should go for strategy of low price and that of B for high price
- b. Both firm A and B should go for strategy of low price
- c. Both firm and B should go for strategy of high price
- d. Firm B should go for strategy of low price and that of A for high price

Question 44

The Centralized cartel _____

- a. Main aim is to maximize each firm's independent profit by equating $MR = P$
- b. decide only total quantity and the optimal price and the allocation of production and distribution is to be determined by each firm
- c. Allocates total production among firms using the following rule: $MC = MR_1 = MR_2$
- d. Is formed by firms with the aim of reducing uncertainty arising from their mutual interdependence

Question 45

The collapse of the Bretton Woods system was partly due to

- a. the unbalanced macroeconomic power of the United States, which allowed it to generate global inflation
- b. the skewed macroeconomic power of the United States, which allowed it to generate global deflation
- c. the fact that all countries have achieved internal and external balances.
- d. the balanced macroeconomic power of the United States, which allowed it to generate global inflation

Question 46

The common features of developing countries in the classification of the United Nations Development Programme (UNDP) are -----

- a. Adverse geography and Underdeveloped financial and other markets
- b. Lingering colonial impacts such as poor institutions and often external dependence.
- c. Low standard of living and low health and education attainments
- d. Slow industrialization and urbanization

Question 47

The cost function of a particular firm is given as, $C = 10q - 2q^2 + q^3$. Find the output level at which the average cost is minimized and the minimum level of output, respectively.

- a. 1 and 6
- b. 1 and 9
- c. 2 and 9
- d. 2 and 6

Question 48

The ex-post analysis/evaluation is inadequate for project control because

- a. it doesn't enable the firm in identifying individual with superior abilities in planning and forecasting
- b. it is a forward looking rather than backward looking
- c. it doesn't provide a documented log of experience that may be valuable in improving future decision making
- d. it does not use the data effectively to provide integrated control

Question 49

The interest parity condition written above now tells us that

- a. If people expect relative PPP to hold, the difference between the interest rates offered by US dollar and Ethiopian Birr deposits will equal the difference between the inflation rates expected, over the relevant horizon, in the United States and in Ethiopia
- b. If people expect relative PPP to hold, the difference between the interest rates offered by US dollar and Ethiopian Birr deposits will equal the difference between the inflation rates expected, over the relevant horizon, in the United States but not in Ethiopia in Ethiopia
- c. If people expect relative PPP to hold, the difference between the interest rates offered by US dollar and Ethiopian Birr deposits will equal the difference between the inflation rates expected, over the relevant horizon, and in Ethiopia but not the in the United States
- d. If people do not expect relative PPP to hold, the difference between the interest rates offered by US dollar and Ethiopian Birr deposits will equal the difference between the inflation rates expected, over the relevant horizon, in the United States and in Ethiopia

Question 50

The most important function of central bank is

- a. controlling Money supply
- b. job creation
- c. promote export
- d. promote import

Question 51

The Mundell–Fleming model shows that

- a. Fiscal policy does not influence aggregate income under fixed exchange rates.
- b. Monetary policy does influence aggregate income under fixed exchange rates
- c. Fiscal policy does not influence aggregate income under floating exchange rates
- d. Monetary policy does not influence aggregate income under floating exchange rates.

Question 52

The relationship between, labor force participation rate(LFPR in percent), labor force(LF) and adult population (AP) can be formulated as;

- a. $LFPR = \frac{AP}{LF} \times 100$
- b. $LFPR = \frac{AP}{AP+LF} \times 100$
- c. $LFPR = \frac{LF}{AP} \times 100$
- d. $LFPR = \frac{LF}{AP+LF} \times 100$

Question 53

The procedure of estimating structural parameters from the coefficients of the reduced-form equations are called

- a. indirect least squares (ILS)
- b. direct least squares (DLS)
- c. Error correction
- d. Vector auto regression

Question 54

The relationship between Monetary base or the high-powered money (H) is given in terms of currency in the hands of the public (C) and Bank Reserves (R) as

- a. $H = C + R$
- b. $H = C - R$
- c. $H = R - C$
- d. $H = C \times R$

Question 55

The relationship between real exchange rate, nominal exchange rate domestic price and foreign price can be summarized as

- a. $RealExchangeRate = \frac{Nominal\ Exchange\ Rate \times Domestic\ Price}{Foreign\ price}$
- b. $RealExchangeRate = \frac{Nominal\ Exchange\ Rate \times Domestic\ Price}{Foreign\ interest\ rate}$
- c. $Real\ Exchange\ rate = \frac{Nominal\ Exchange\ Rate \times Foreign\ Price}{Domestic\ Price}$
- d. $RealExchangeRate = \frac{Nominal\ Exchange\ Rate \times Domestic\ Price}{Domestic\ interest\ rate}$

Question 56

The stream of financial costs and benefits generated by the project over its economic life using shadow prices to meet equity objective is called _____?

- a. Financial cash flow
- b. Economic net benefit stream
- c. Social net benefit stream
- d. Social impact analysis

Question 57

The use of non-stationary variables in OLS can lead to

- a. error correction model
- b. regression with exact identification
- c. cross sectional regression
- d. spurious regressions

Question 58

The value of each possible outcome times the probability of that outcome is ____

- a. Variance
- b. Expected value
- c. Expected utility
- d. Risk premium

Question 59

What are the components of official development assistance (ODA)?

- a. Commercial loans, concessional loans, purchase of bonds and multilateral flows
- b. Special drawing rights, commercial loans and multilateral grants
- c. Technical assistance, multilateral flows, preferential trade and long term loans
- d. Bilateral grants, concessional loans, technical assistance, and multilateral flows

Question 60

What is meant by $u_i = N(0, \delta^2)$?

- a. The error term is normally distributed
- b. Variance of the error term is constant
- c. There is no autocorrelation
- d. The independent variables are not related

Question 61

What is the Hausmann test in in panel data econometrics

- a. Identification test
- b. Test of cointegration
- c. Test of structural break
- d. Specification test

Question 62

What is the exchange rate policy of Ethiopia

- a. Managed floating system
- b. Floating exchange system
- c. Fixed exchange rate system
- d. Pegged exchange rate system

Question 63

What is the particular underlying assumption behind the application of Microeconomic Household Theory of Fertility in low-income countries as distinct from developed countries?

- a. Other factors being held constant, the desired number of children vary inversely with household income, Education and Health
- b. Children are considered as a special kind of good outside the basket of consumption goods
- c. Children are considered as a special kind of investment good
- d. Fertility becomes independent area of decision outside of the rational economic response.

Question 64

What is the shortcoming of the new growth theory?

- a. it remains independent on a number of traditional neoclassical assumptions that are often adequate for LDCs
- b. it solves the issues of diminishing marginal product of capital
- c. it remains dependent on a number of traditional neoclassical assumptions that are often inadequate for LDCs
- d. it endogenizes technology

Question 65

What type of data can be used to study income of 2000 Ethiopian Rural households from 2000 to 2022?

- a. panel data
- b. Time series data
- c. Correctional
- d. Pooled panel data

Question 66

What will happen to the slope of the aggregate demand curve, if money demand is more sensitive to a given change in interest rate?

- ☐ a. The AD curve become steeper reflecting output is not as such sensitive to change in the price level
- ☒ b. The AD curve become flatter reflecting output is as such sensitive to change in the price level
- ☐ c. The AD curve become steeper reflecting output is as such sensitive to change in the price level
- ☐ d. The higher the amount of shift in the LM curve due to changes in the monetary policy.

Question 67

What you call the following type model of non-stationary process? $y_t = \mu + y_{t-1} + \varepsilon_t$
28.282

- a. Random walk model with drift
- b. random walk model with constant variance
- c. random Walk model with constant auto covariance
- d. Random walk model trend

Question 68

When a country experiences a Trade Surplus

- a. Net Capital Outflow > 0
- b. Net Capital Outflow $= 0$
- c. Net Capital Outflow < 0
- d. Saving $<$ Investment

Question 69

When a country's currency depreciates

- a. Foreigners find that its exports are cheaper and domestic residents find that imports from abroad are more expensive
- b. Foreigners find that its exports are cheaper and domestic residents find that imports from abroad are also cheaper.
- c. Domestic residents find that its exports are cheaper and foreigners find that imports from abroad are also cheaper
- d. Foreigners find that its exports are more expensive and domestic residents find that imports from abroad are cheaper

Question 70

When comparing alternative projects?

- a. Projects whose NPVR greater than the discount rate should be selected
- b. Net present value ratio (NPVR) is used
- c. Specific discounting rate and period for each project
- d. NPVR is computed by the ratio of the present value of investment to the NPV.

Question 71

When marginal revenue (MR) is negative,_____

- a. Price and the firm's total revenue moves in the same direction
- b. Price doesn't have any impact on the firm's total revenue
- c. The price elasticity of demand greater than one
- d. the price elasticity of demand is less than one

Question 72

When the competitive firm produces less than the equilibrium output

- a. The firm does not want to change the quantity that it sells
- b. The market price would be above its marginal cost
- c. The firm could increase its profit by reducing output
- d. The marginal cost would be above its price

Question 73

Which of the following cannot be remedy to remove perfect multicollinearity from the model?

- a. Transforming the functional relationship
- b. Increasing the size of the sample data
- c. Decreasing the size of the sample data
- d. Dropping one of the highly collinear variables

Question 74

Which of the following changes shifts the long-run aggregate supply curve to the right?

- a. A decrease in taxes.
- b. An increase in labor supply
- c. A decrease in the demand for labor
- d. An increase in consumer confidence

Question 75

Which of the following conditions should be fulfilled to consider a good as tradable?

- a. If its external demand or external supply could be regarded as fixed
- b. F.O.B price is less than domestic cost of production(DCP)
- c. If exported through government intervention by use of export subsidies
- d. DCP is less than C.I.F price

Question 76

Which of the following is an example indirect finance in Ethiopian context?

- a. A farmer borrowing money from his nearby shopkeeper
- b. A farmer borrowing money from local money lender
- c. A farmer borrowing money from the Commercial Bank of Ethiopia
- d. A farmer borrowing money from his relatives.

Question 77

Which of the following is implied by the comparative advantage theory of trade regarding nations that produce two goods?

- a. If it is impossible for one nation to have a comparative advantage in the production of both goods it should follow its absolute cost advantage
- b. It is impossible for one nation to have a comparative advantage in the production of both goods.
- c. If it is impossible for one nation to have a comparative advantage in the production of both goods it should abandon all
- d. It is possible for every nation to produce two goods and enjoy comparative advantage from both

Question 78

Which of the following is the result of a policy that reduces national saving such as budget deficit?

- a. Reduces the supply of loanable funds and drives up the interest rate. The dollar appreciates, and net exports fall
- b. Reduces the supply of loanable funds and drives down the interest rate. The dollar appreciates, and net exports fall
- c. Reduces the supply of loanable funds and drives up the interest rate. The dollar depreciates , and net exports fall
- d. Reduces the supply of loanable funds and drives up the interest rate. The dollar appreciates, and net exports rise

Question 79

Which of the following is true about the kinked demand curve model?

- a. The upper part of the demand curve have low price elasticity while the lower part has high price elasticity
- b. A planned demand curve and the market share curve are combined to form kinked demand curve
- c. If the cost of firms goes down and if the demand for their products falls, they may prefer to lower their prices.
- d. If the cost of firms goes up and demand rises, they may prefer to raise their prices.

Question 80

Which one of the following best explains the Fisher's theory of consumption?

- a. The timing of the income is relevant because consumers can lend but cannot borrow
- b. The timing of the income is irrelevant because consumers can lend and borrow
- c. The timing of the income is irrelevant because consumers cannot lend and borrow
- d. The timing of the income is relevant because consumers cannot lend and borrow

Question 81

Which one of the following best relates WTO and the Uruguay Rounds?

- a. WTO monitors each member country's trade policies with respect to the trade agreements that were made in the Uruguay Round
- b. WTO agreements do not monitor promises to reduce barriers to trade that the Uruguay Round attended
- c. WTO monitors trade policies on non-members with respect to the trade agreements that were made in the Uruguay Round
- d. The goal of the WTO is different from the goal of the Uruguay round with respect to promoting trade liberalization and fostering economic growth and development.

Question 82

Which one of the following better depicts the effects of import quotas and import tariffs on the level of imports?

- a. An import quota limits imports to the specified level with certainty, while the trade effect of an import tariff may be uncertain.
- b. In both cases it is uncertain whether imports will be limited to the specified level
- c. An import quota limits imports to the specified level is uncertain, while the trade effect of an import tariff is certain.
- d. An import quota limits imports less than the level import tariff does.

Question 83

Which one of the following conceptions of development takes development as a multidimensional process rather than growth?

- a. Development mainly involves the acceleration of economic growth, that trickles down to the fulfilment of basic material needs
- b. Development is a movement away from unsatisfactory life toward a situation or condition of life regarded as materially and spiritually better.
- c. Development involves minor changes in social structures, popular attitudes, and national institutions
- d. Development sometimes involves accelerated economic growth, with reduction of inequality, and the eradication of poverty.

Question 84

Which one of the following describes the unintended consequences of import substitution strategy by blocking the hoped-for process of self-reliant integrated industrialization?

- a. Purchasing their own inputs from overseas sources of supply rather than through backward linkages to domestic suppliers
- b. Using imported consumer goods other than they produce to the detriment of domestic companies
- c. Decreasing the costs of inputs to potentially forward-linked industries
- d. Selling to foreign markets while domestic markets are starved.

Question 85

Which one of the following is a point of differences between the views of neoclassical counter revolution theory of development and dependence theorists of development?

- a. Neoclassical counterrevolutionaries argue that the developing world is underdeveloped, because of the heavy hand of the state and lack of economic incentives
- b. Neoclassical counterrevolutionaries argue that underdevelopment is not because of the heavy hand of the state and not because of the lack of economic incentives
- c. Dependence theorists argue that under development is not associated with the predatory activities of the developed world
- d. Neoclassical counterrevolution claim that the international economic system, has a heavy impact on dualistic developing economies,

Question 86

Which one of the following is a valid conclusion that may be made if the existence of environmental degradations, needs for R&D and extension services in agriculture, economies of scale in agricultural marketing, information asymmetries in agricultural product quality, missing markets, and monopoly power in input supply, are confirmed cases in agriculture?

- a. The confirmed cases of market failures are cases that do not create incentive problems and manageable by the market itself.
- b. In fact, market failures in the sector are quite common but they do not need government role to rectify them
- c. Although agriculture generally looks a perfectly competitive activity, it is full of market failures and is in need of active government role
- d. It can still be stated that there are no market failures and no role for government.

Question 87

Which one of the following is not an objective of project evaluation?

- a. Determining the problems and challenges involved in the execution of a project
- b. Responding to the demands of customers.
- c. Identifying the progress of the project.
- d. Completing the project within the allotted time and resources.

Question 88

Which one of the following is not the effect of complementarities?

- a. Complementarities necessitate a policy that assists the economy to move from a suboptimal outcome to one that is more efficient.
- b. Complementarities create externalities that may precipitate a coordination failure
- c. Complementarities create case of several sectors simultaneously functioning at a suboptimal level
- d. Complementarity effects are free from history and expectations

Question 89

Which one of the following is the reason for the labour supply curve to have a segment with negative slope

- a. As incomes reach the level required for a comfortable standard of living, workers put forward greater demands for more leisure.
- b. As the wage rate increases, the income effect always dominates the substitution effect and hence enables the worker to have more leisure activities
- c. beyond a certain level of the wage rate, the substitution effect of a wage rate change dominates the income effect and hence the worker prefers to work more
- d. As the wage rate increases, the substitution effect always dominates the income effect and hence enables the worker to have more work activities

Question 90

Which one of the following represents a policy of ad valorem tariff? Imposing tariff at

- a. Combination of a fixed percentage and a fixed sum of the value of the traded commodity
- b. Difference of a fixed percentage and a fixed sum of the value of the traded commodity
- c. Fixed sum per physical unit of the traded commodity.
- d. Fixed percentage of the value of the traded commodity.

Question 91

Which one of the following sequential order in project cycle is correct?

- a. Pre- feasibility → Feasibility → Identification → Selection → Implementation → Ex-post evaluation
- b. Identification → Pre- feasibility → Feasibility → Selection → Implementation → Ex-post evaluation
- c. Identification → Pre- feasibility → Feasibility → Implementation → Selection → Ex-post evaluation
- d. Pre- feasibility → identification → Feasibility → Selection → Implementation → Ex-post evaluation

Question 92

Which one of the following statements holds at equilibrium of the money market?

- a. Aggregate supply of money is equal to the total demand for money by the government
- b. Aggregate supply of money is equal to the aggregate demand for money.
- c. Aggregate demand supply of money is equal to the total demand for money by firms
- d. Aggregate supply of money is equal to the total demand for money by households

Question 93

Which one of the following time paths of profit $\Pi(t)$ can be derived from the differential equation relating profit Π , time rate of output $\frac{d\Pi}{dt}$ and time t as $\frac{d\Pi}{dt} = 4 - \Pi$;

- a. $\Pi(t) = Ae^{-2t^2} + 1$
- b. $\Pi(t) = e^{-2t^2} + 10$
- c. $\Pi(t) = Ae^{2t^2} + 4$
- d. $\Pi(t) = Ae^{-2t} + 1$

Question 94

With the value of human capital as an investment written as $\sum_{t=0}^T \frac{E_t - N_t}{(1+r)^t}$ where E is income with extra education, N is income without extra education, t is year, r is the discount rate, T is expected years of working life, which one of the following is the best conclusion that can be made from the comparison of income flows and incurred costs of education?

- a. The rate of return in education will be higher whenever the discount rate is lower, the direct or indirect costs are lower, or the benefits are higher.
- b. If there is a higher rates of return in education for developing countries than that in developed countries, that has little to do with the average income differential between those with more and less schooling in developing and developed countries
- c. If private rate of return to a lower level of education is higher many families make this investment even if they have no ability to borrow.
- d. Education costs (direct tuition or other expenditures, and indirect costs, income forgone because the student could not work while in school) have lower weights as they come earlier than earning flows that come later.